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 add*ONE	Sales and Operation Planning (S&OP)	Author: MA/LOG-IN	Date 10.03.2022

Business Process Procedure Overview
Sales and Operations Planning (S&OP) IAM MA-IN

Objective:

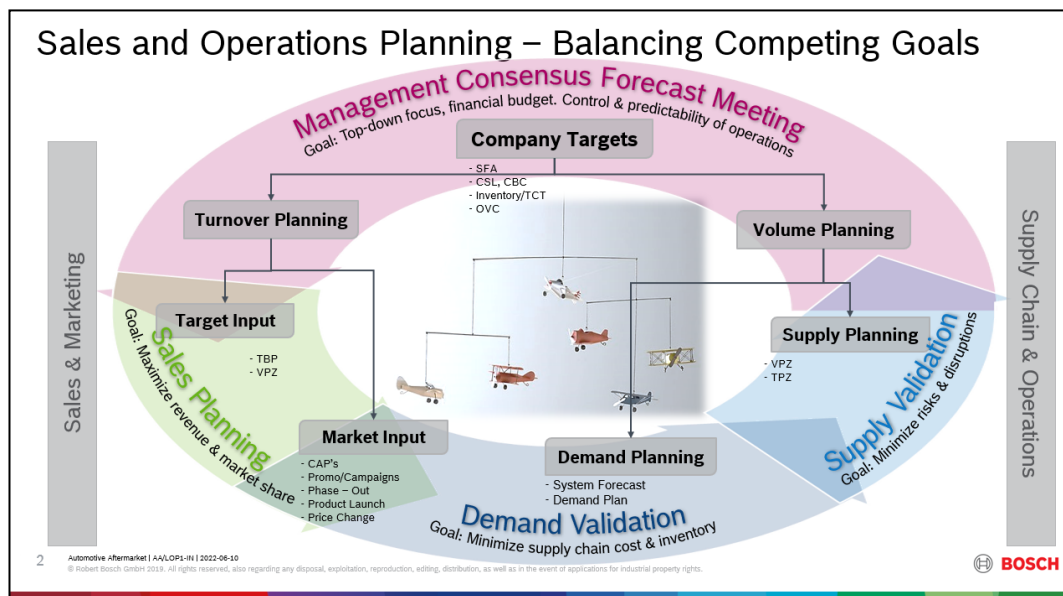
This document establishes a standardized Sales and Operations Planning (S&OP) process within Automotive Aftermarket (MA) in region IN, the roles and responsibilities therein and the relevant Key Performance Indicators (KPIs) to measure performance.

- S&OP is a monthly collaborative process between MA Go-to-Source organization (GtS) and MA Go-to-Market organization (GtM) coordinated and supported by MA Divisional Logistics (MA/LO). It reviews demand plan and supply resources across a 12-month rolling horizon.
- It is designed to seek and incorporate all known influences and expectations from the market side into the demand plan and align it with the supply capabilities.
- It starts every month on basis of the latest sales history (and system generated forecast) and is conducted monthly.
- This alignment ensures the consistency of different functional plans (e.g. turnover planning, demand planning, capacity planning) and helps to balance demand and supply.
- Stringent analysis of forecast deviations and error on part number level drives the continuous improvement of Sales Forecast Accuracy (SFA).

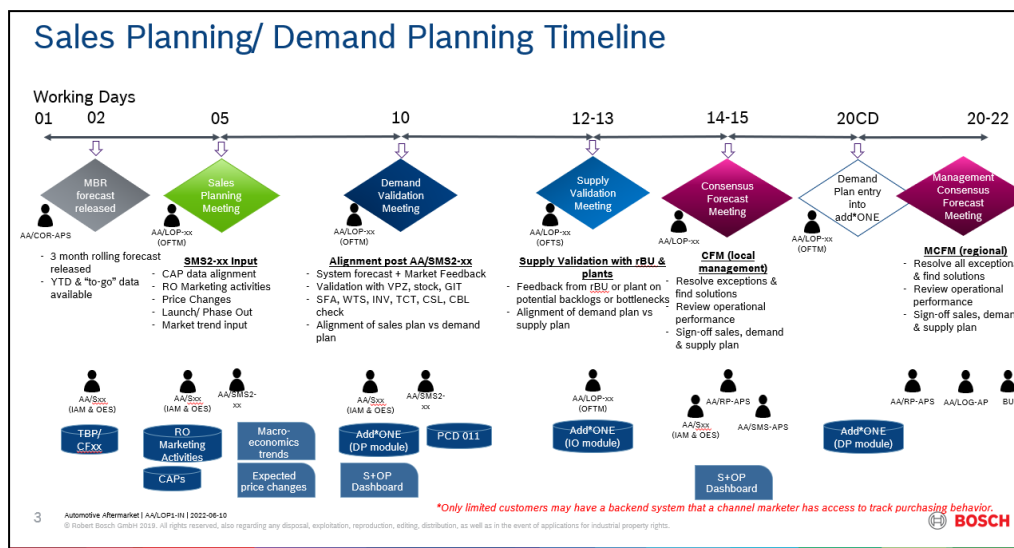
Input	Output
- Past customer demands - Market input (standard business development, product specific information, customer specific information) from GTm Team - Target sales figures (TBP/CFxx, VPZ/TPZ, MBR rolling FC, Sales Prognosis)	Accurate aligned gross demand plan for each planning relevant product and distribution center as basis for supply & network planning

S&OP Cycle:

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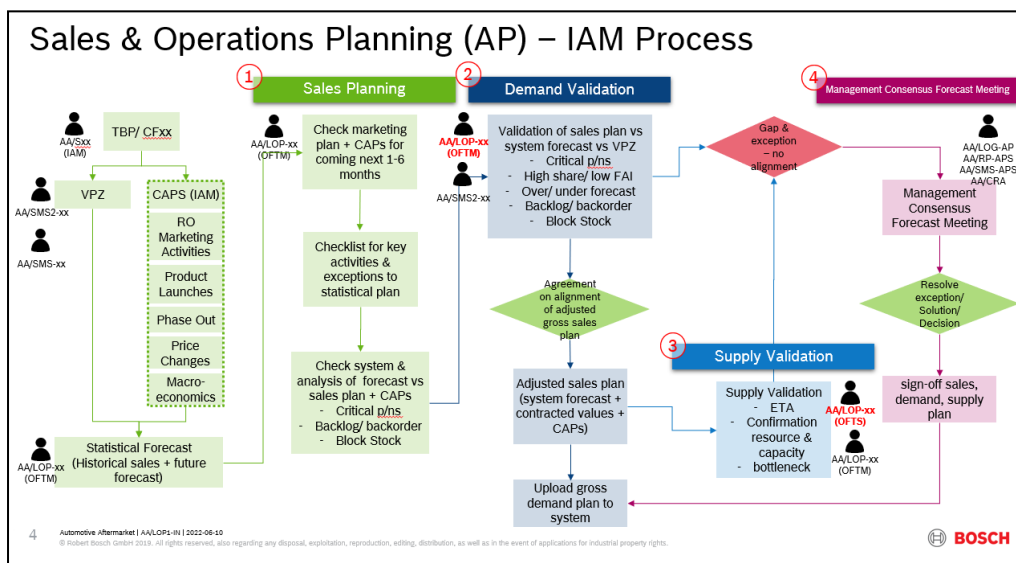


Timeline for S&OP:

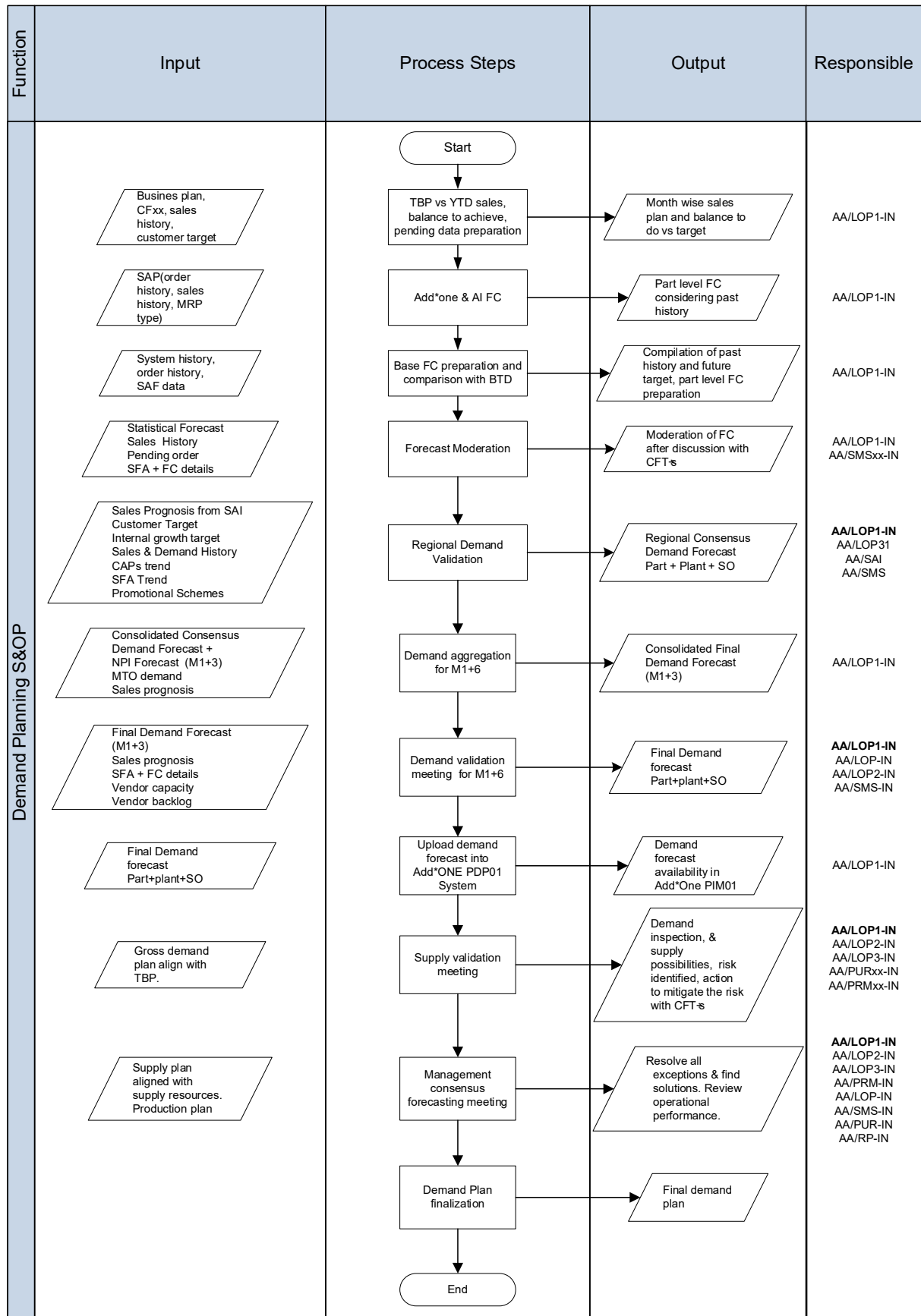


S&OP Process flow:

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General Process overview:

Process input for S&OP process in MA-In is the system generated forecast based on captured Sales history coming from demand planning software (Add*ONE / AI) that has then been formatted and aligned by respective demand planners

The MA S&OP process consists of five steps:

- Statistical / System generated Forecast
- Sales Plan/Go-to-Market input collection
- Demand Validation or Consensus Forecast Meeting
- Supply Validation and
- Management Consensus Forecast Meeting (MCFM)



1. System / Statistical Demand Forecast

The statistical forecast is the estimation of the future demand based on forecast relevant demand history by means of automated calculated statistics and algorithms. The statistical forecast is the baseline for the subsequent collaboration & revision process. Thus, sales forecast accuracy heavily depends on the quality of the statistical forecast.

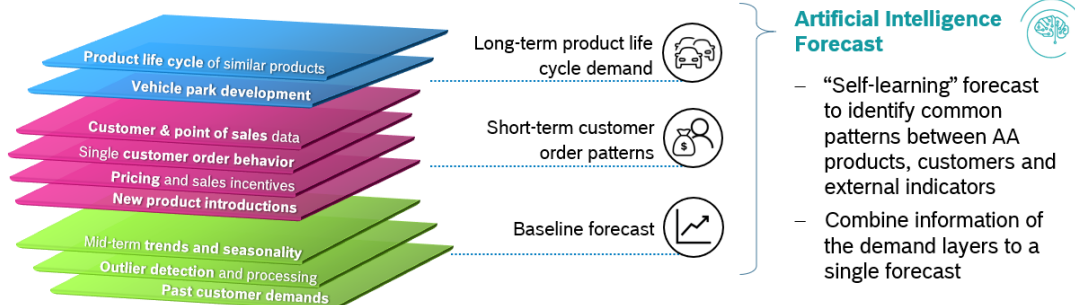
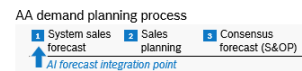
Within in MA-In we currently have two sources for generating System / Statistical Demand forecast.

- Add*ONE PDP (Demand planning module) from INFORM (refer slide 2 – 5)
[\\ban0fs02.apac.bosch.com\Ban_MA_CLP\\$\MA_CLP\MA_CLP\CLP_General\Process documentation 2022\Demand Planning\Add8one FC and SFA analysis.pptx](\\ban0fs02.apac.bosch.com\Ban_MA_CLP$\MA_CLP\MA_CLP\CLP_General\Process documentation 2022\Demand Planning\Add8one FC and SFA analysis.pptx)
- AI based forecast generated on centralized AI central infrastructure by MA/LOI

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Artificial Intelligence in Demand Planning

Main layers of demand in the Aftermarket



AI Forecast to analyze & combine different layers of demand to improve forecast accuracy

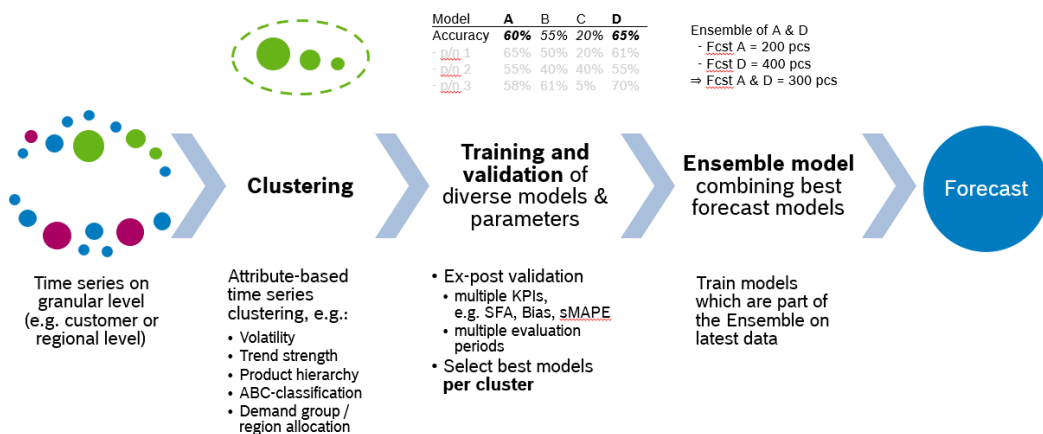
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Artificial Intelligence in Demand Planning

Baseline model approach (simplified)



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The basic principle of working for both software is similar at a broader level and can be summarized as below.

Input:

Representative forecast relevant demand history, Statistical forecast model & parameters, demand planning master data

Process step:

Choose & apply appropriate statistical forecast models for given part numbers and locations of demand. Statistical forecast must represent the demand characteristics observable in the forecast relevant demand history. However, the forecast must exclude one-time effects and noise in the demand history (outlier correction).

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Output:

Statistical demand forecast, Selected forecast model & parameters

To provide a good statistical forecast to the subsequent processes, the following requirements must be considered:

1.1 Pre-Requisites for an efficient System based demand forecast.

a) Detect and correct outliers:

Outliers, i.e., past demands deviating from regular demand, significantly influence the behavior of statistical forecast methods. Outliers must be detected and corrected (Smoothing, reduction, or exclusion).

In region IN, the demand forecast needs to be cleaned and moved back to relevant plant / LDC to minimize the effect of IGST or interplant billing that takes from non-assigned warehouse.

b) Manage exceptions:

Statistical forecasts are applicable if demand history is representative and stable.

Exceptional cases, e.g., short (<12 months) or very sporadic demand histories pose a significant risk of poor forecast accuracy and must be treated with adjusted procedures (manual or automatic). If the statistical forecast can't be used, a manual baseline forecast must be created, Ex: Covid impact.

c) Supersession / PLCM inputs:

In cases of supersession (Replacement with Successor or due to FFF Classes) relevant correction in demand history needs to be considered by copying the demand history from Predecessor to the successor (Automatic).

1.2 Forecast Format Preparation

The preparation on a forecast format is essential since there are a lot of inputs that need to be considered by the respective regional demand planner to ensure that statistical forecast is inline with the current demand.

The forecast format will help the planner with necessary details required to conduct the Demand validation and also analyses where input from GTM is required to improve the SFA (Sales forecast accuracy).

Major steps to be considered for preparation of forecast format are as below.

- Identification and Preparation of data:

A master file containing all relevant combinations at lowest level where forecast is relevant is to be created. Each MTS part is linked with all assigned warehouse from which planning and sales is done. The database is created to capture inputs at a granularity of Material + Warehouse + Sales Office.

- Demand History and Sales History:

The Forecast relevant Demand and Sales history is the basis from which the statistical forecast is generated. Necessary correction needs to be completed and moved back to the assigned warehouse so that demand and sales inputs are captured at the point of origin rather than from final location from where sales has happened due to inter-plant billing (IGST)

Input: Past customer demands and sales, independent of the order status (open orders, backorders, shipped orders, cancelled orders)

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Process step: Captured customer demands must be selected & moved back to relevant warehouse / LDC based on the assigned Warehouse of that Customer based on his / her customer master record details as well as the MRP type of that product in line with the Stocking Policy.

- KPI:**

Below shared the process for SFA calculation, (refer slide 6 & 7)

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- Breakdown into ABC/XYZ:**

Material will be classified based on order lines and turnover. ABC material classification will be based on turnover and XYZ will be based on order lines.

% Contribution	Turnover of parts	No. of orderliness
80%	A	X
15%	B	Y
5%	c	Z

- Identify top parts of failure and prepare for discussion with GtM:**

Top parts that are failed in SFA (AX, AY, AZ, BX and BY) which are considered as MTS will be discussed in meeting with GtM. We identify reason for failure and measures to act to avoid the same in future for these top parts. Will be considered Below shared the format of RCA, measures, and category due to which failure may happen.



RootCause_IN_anyCB
F_anySubregion.xlsx

- AI FC Inputs**

AI base inputs with Planning alert of consistent failure parts and AI auto planed parts is also consider for planning in same FC format

2. Sales prognosis/turnover targets

There are various numbers for sales/turnover targets shared from GtM that need to be looked at for preparation before demand history.

- CF (quarterly Jan, Apr, Sep, Dec):**

Current forecast will be done for 1+3 months. Next month firm demand and 3 months FC. The 3 months FC will be finalized at CBF, market volatility, SFA in S&OP meeting. The FC tracker format is shared below.



FC tracker.xlsx

- Sales target:**

This is customer turnover targets for one year, also linked to bonus if customer achieves it. Target can either total turnover or individual product groups.

➤ SAI target → Channel/region wise

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- RM target → Zone wise
- ZM target → CBF wise
- Customer signed target → BTD

3. Demand validation

- New CAP's/focus CBF's:

A CAP will be initiated by KAM/CSM and inform OFTM or rPS after information stored in standard format. OFTM checks whether it is a standard business or an exceptional event and plans accordingly. In parallel, with LOG they will check for feasibility of event quantity and timing.

- Local marketing campaigns:

Marketing driven events are planned by SMS in marketing calendar for year and unplanned short term because reaction on competitor, weak year-to-date sales. This is to push customer for certain period with incentives

- Consistent failure:

For a given part the SFA trend will observe, if SFA hit below 60% for consecutive months, these parts considered as consistent failure. This impact the overall SFA %, so to reduce the overall impact, every planner will monitor. Planners analyze the reason and give remarks for failure and measure will be brought in.

Below share the example of SFA trend and remarks for consistent failure mentioned.

Material no	Material Description	Sales organization	CBF Description	MJPR	MTS / MTO	Sale Office	Region	SFA Trend					SO Trend	Pan India trend	tractor	SFA Count
								Jan	Feb	Mar	Apr	May				
0445226142879	Distributor Tube	IN20	AA-PAD - DIESEL SYSTEMS	545	VV	SI42	South	0%	60%	0%	0%	0%	Declining	Increasing	#N/A	5
F002H100968F8	Relay	IN20	AA/PAC - COMFORT ELECTRONIC	724	VV	SI42	South	0%	88%	0%	0%	50%	Declining	Declining	#N/A	4
F002H502799F8	Relay	IN20	AA/PAC - COMFORT ELECTRONIC	724	VV	SI42	South	0%	60%	43%	60%	0%	Declining	Declining	#N/A	5
F002H101009F8	Relay	IN20	AA/PAC - COMFORT ELECTRONIC	724	VV	SI42	South	0%	0%	0%	7%	29%	High Increase	High Increase	#N/A	5
F002H238368F8	Set of brake pads	IN2A	AA-BC - BRAKING SYSTEMS	751	VV	SI42	South	0%	54%	48%	65%	18%	Declining	High Increase	#N/A	4
0986AB70059F8	Brake Fluid	IN2A	AA-BC - BRAKING SYSTEMS	755	VV	SI42	South	0%	54%	50%	0%	0%	Declining	High Increase	#N/A	5
F002H238229F8	Brake Shoe	IN20	AA-BC - BRAKING SYSTEMS	753	VV	SI42	South	51%	56%	65%	0%	0%	Declining	High Increase	#N/A	4
02047173784AR	Clutch Slave Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	CSC	VV	SI42	South	0%	0%	99%	0%	51%	High Increase	High Increase	#N/A	4
F002H600208F8	Brake Fluid	IN2A	AA-BC - BRAKING SYSTEMS	755	VV	SI42	South	45%	42%	60%	0%	58%	Declining	Declining	#N/A	5
02043185264AR	Brake Master Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	TMC	VV	SI42	South	0%	0%	0%	90%	35%	Increasing	High Increase	#N/A	4
02043185674AR	Clutch Slave Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	CSC	VV	SI42	South	50%	0%	0%	0%	58%	Increasing	High Increase	#N/A	5
F002H236828F8	Brake Shoe	IN20	AA-BC - BRAKING SYSTEMS	753	VV	SI42	South	33%	0%	52%	92%	0%	Declining	Declining	#N/A	4
0986AB70008F8	Brake Fluid	IN2A	AA-BC - BRAKING SYSTEMS	755	VV	SI42	South	0%	75%	31%	0%	28%	Declining	Declining	#N/A	4
02043185104AR	Clutch Master Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	CMC	VV	SI42	South	0%	0%	46%	53%	20%	High Increase	High Increase	#N/A	5
0986AB44068F8	Set of brake pads	IN2A	AA-BC - BRAKING SYSTEMS	751	VV	SI42	South	29%	35%	86%	0%	43%	Declining	Declining	#N/A	4
F002H241888F8	Set of brake pads	IN2A	AA-BC - BRAKING SYSTEMS	751	VV	SI42	South	22%	0%	0%	90%	22%	Declining	Declining	#N/A	4
F002H236638F8	Brake Shoe	IN2A	AA-BC - BRAKING SYSTEMS	753	VV	SI42	South	44%	83%	0%	0%	0%	Declining	Declining	#N/A	4
F002H236398F8	Set of brake pads	IN2A	AA-BC - BRAKING SYSTEMS	751	VV	SI42	South	60%	20%	75%	0%	53%	High Increase	High Increase	#N/A	4
02043180334AR	Brake Master Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	TMC	VV	SI42	South	0%	0%	0%	0%	25%	Increasing	High Increase	#N/A	5
F002H239218F8	Brake Disc	IN2A	AA-BC - BRAKING SYSTEMS	754	VV	SI42	South	44%	96%	58%	0%	0%	Declining	High Increase	#N/A	4
0986AB8132E7A	Wheel Brake Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	WCA	VV	SI42	South	0%	0%	0%	0%	90%	Declining	Declining	#N/A	4
F002H239238F8	Brake Disc	IN2A	AA-BC - BRAKING SYSTEMS	754	VV	SI42	South	0%	0%	36%	50%	100%	Increasing	High Increase	#N/A	4
F002H238358F8	Set of brake pads	IN2A	AA-BC - BRAKING SYSTEMS	751	VV	SI42	South	44%	45%	21%	100%	0%	Gradually reducing	Declining	#N/A	4
F002H236988F8	Brake Shoe	IN2A	AA-BC - BRAKING SYSTEMS	753	VV	SI42	South	42%	65%	50%	0%	0%	Declining	Declining	#N/A	4
02043280014AR	Brake Master Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	TMC	VV	SI42	South	0%	50%	50%	40%	0%	Stable	High Increase	#N/A	5
0986AB8115E7A	Wheel Brake Cylinder	IN2A	AA-BC - BRAKING SYSTEMS	WCA	VV	SI42	South	0%	0%	83%	60%	0%	Declining	Declining	#N/A	4
0986AB70048F8	Brake Fluid	IN2A	AA-BC - BRAKING SYSTEMS	755	VV	SI42	South	50%	39%	26%	0%	93%	Declining	High Increase	#N/A	4

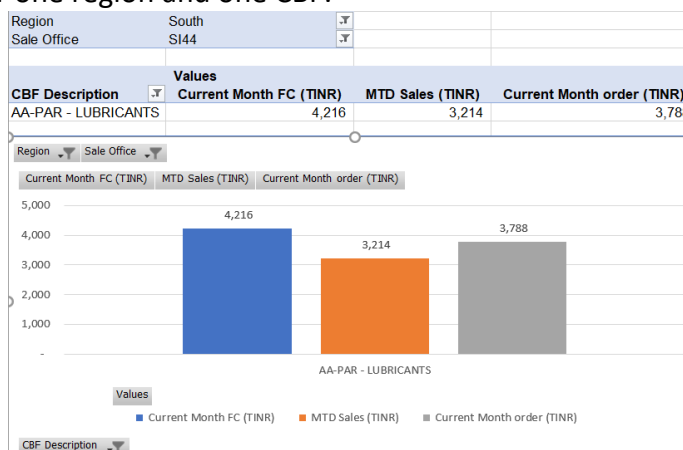
- FC vs Plant Commitment vs Demand:

Every month, planners monitor **Forecast vs Plant Commitment vs Demand** generated for the current month. The review is performed **region-wise or CBF-wise**.

The planner analyzes gaps between forecast, demand, and plant-committed quantities (if any) and initiates corrective actions such as demand adjustment, supply re-alignment, or escalation to plants to reduce the gap.

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Below is an example for one region and one CBF.



3.1 Demand validation meeting:

The input for the Demand validation or Consensus Forecast Meeting are the demand plan for the next 12 months, aligned on the GtM side and the Sales history YTD and previous year. In addition, the target sales figures such as TBP and/or CFxx (provided on sub-region and CBF level by CTG), the VPZ (provided by SMS or rBU (product manager) of the corresponding product, on a regional or sub-regional level) and the Rolling MBR Forecast. The GtM-side aligned gross demand plan will now be validated and aligned with target sales figures (TBP/CFxx, VPZ). This meeting is supposed to focus on Forecast bias of past months and KPIs (like SFA, CSL1, TCT) as well as overstock and service level issues.

Mandatory elements of this meeting are:

- Forecast bias of past months (to improve forecast on part number level)
- Target Sales validation (e.g., TBP/CFxx, VPZ): Regular alignment necessary to adjust forecast or target Sales and VPZ to expected turnover and volume level
- KPIs (like SFA, CSL1, TCT), overstock and service level issues

The OFTM is the owner and responsible for the meeting. The meeting can be split by CBF and Sales Channel. Participants are Sales IAM and OES, as well as SMS. To include the rolling MBR Forecast in the discussion, regional CTG is supposed to participate.

The target for this meeting is to align the operational Demand planning with the strategic target Sales figures such as TBP and CFxx as well as the VPZ (used for long-term capacity planning at the sources). Moreover, part numbers with a huge deviation between year-to-date Sales and Demand planning (Forecast bias) as well as the top parts with SFA under the target level of 60% should be reviewed to improve the overall forecasting process via a lesson learned process, e.g., Root Cause Analysis. Result of this step is an aligned gross demand that can be handed over to the respective OFTS for executing

Tools that support the preparation of the meeting and collecting the necessary information are

- the Forecast Tracking Sheet (FTS) and
- a Demand validation file on p/n basis

The following KPIs can be used to track the result of the Demand validation:

- SFA (=FAI) with target >60%,
- CSL1 with target >95%,

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- CBL1 with target <10%,
- CSI: Customer survey to collect the feedback regarding supplier performance clustered in different topics, e.g., logistics

4. Supply validation (Supply validation meeting / Go-to-Source alignment)

The meeting takes place after the result of the Demand validation meeting (aligned gross demand) has been entered into the planning system. Therefore, the meeting contains a review of the actual performance, an update on the current business situation and development, a comparison of net demand to production plan for next 12 months, TPZ (for Bosch plants) and Annual Agreed Volume (for external suppliers) and TBP/CFxx as well as an identification of early warning bottlenecks and a readiness check for launches and events. In case of supply bottlenecks, OFTS informs OFTM to collaboratively find a solution, e.g., via bottleneck management. On request, Sales topics can be presented and discussed as well as the decision on allocation issues and analysis of Sales forecast accuracy report. Target for this meeting is to align capabilities of the sources with the net demand between Logistics and GtS. If for certain sources no common alignment is possible or a decision on management level is necessary (e.g., increase capabilities at sources, shift production volumes within IPN), these sources/CBFs will be discussed in the Management Consensus Forecast Meeting.

Tools that support the preparation of the meeting and collecting the necessary information are

- Net Demand validation file / capacity tracking sheet (Comparison of net demands and capacity per source and per product line/technology/others)
- Forecast Tracking Sheet
- **VBL Tracking Sheet – to check**
- Demand validation file
- Sales Forecast Accuracy reports

The following KPIs can be used to track the result of the Supply validation:

- CSL1 with target >95%,
- **VBL, VSL – to check**
- SFA (=FAI) with target >60%,

5. Management Consensus Forecast Meeting (MCFM)

An aggregated comparison of the aligned gross demand with target sales (TBP/CFxx, VPZ) on sub-region/market level for critical CBFs (or PH1s, PH2s) is mandatory to be discussed. Moreover, all exceptions and misalignments between gross/net demand versus target sales and/or production capabilities will be discussed and solved. Furthermore, main Logistic KPIs can be reviewed to track the performance of the Supply Chain. Main participants of this meeting are the LOG and the RP of the demand region as well as the head of departments of LOG, SMS, Sales IAM and Sales OES. It is recommended to invite the head of Business Unit and Purchasing (for external vendor management) to represent the GtS side.

Target of this meeting is to resolve misalignments between the gross demand plan with target sales as well as the net demand plan with supply capabilities. To close the gap between gross demand plan and target sales, the demand plan, or the target sales figures such as CFxx or VPZ needs to be adjusted to be on the same level - while closing the gap between net demand plan and supply capabilities ends up in trying to increase or shift supply

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capabilities. A final alignment and confirmation of the gross demand is needed and if changes on the demand planning side are necessary, this should be immediately updated in the system to send the most current replenishment orders to the Supply sources. Changes to the next Current Forecast need to be addressed by the RP to the regional CTG to align these changes with Sales IAM (e.g., RD, CSM) and SMS.

Roles

OFTM: LOG1

The OFTM (One Face to Market) is the single contact to the Go-to-Market organization to gather all information needed to generate the best possible demand plan (on SKU level in pieces). The role of OFTM in region is fulfilled by LOG1. Each regional demand planners is responsible in consolidating the inputs from all valid teams (SMS, SAI, SWS etc.) within his / her region and arrive at final demand plan (on SKU level in pieces).

OFTS: LOG2

The OFTS is the primary contact person to the Go-to-Source organization and to the vendors. Within the S&OP process, the OFTS discusses the supply plan with the sources to align it with production capabilities and identify supply bottlenecks early. This role is located within Logistics. Refer global document [OFTS work instruction](#).

Important Questions and Answers: -

1. Why is S&OP important in Bosch MA-IN?

Answer:

Sales & Operations Planning (S&OP) is a monthly collaborative process between Go-to-Market (GtM), Go-to-Source (GtS), and Logistics teams to align demand forecasts with supply capabilities across a 12-month rolling horizon.

Its objective is to:

- improve Sales Forecast Accuracy (SFA)
- balance demand and supply
- align turnover planning, demand planning, and capacity planning
- reduce overstock and service issues
- improve operational planning accuracy

The final output of S&OP is an aligned gross demand plan for each planning-relevant product and distribution center.

2. What is the role of OFTM in the S&OP process?

Answer:

OFTM (One Face to Market) acts as the single contact point between Logistics and the Go-to-Market organization.

In MA-IN, this role is performed by LOG1 planners.

Responsibilities include:

- consolidating demand inputs from SMS, SAI, SWS, and sales teams
- validating demand forecasts
- conducting Demand Validation meetings
- analyzing forecast deviations and SFA failures

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- finalizing SKU-level demand plans

The OFTM owns the Demand Validation process.

3. What is the role of OFTS in the S&OP process?

Answer:

OFTS (One Face to Source) acts as the primary interface between Logistics and supply sources/vendors. In MA-IN, this role is performed by LOG2 planners.

Responsibilities include:

- aligning supply plans with production capabilities
- discussing supply bottlenecks with plants/vendors
- reviewing net demand vs production plan
- supporting Supply Validation meetings
- escalating supply risks and allocation issues

The OFTS owns source-side supply alignment.

4. Why is SFA important in demand planning?

Answer:

Sales Forecast Accuracy (SFA) measures how accurately forecasted demand matches actual demand.

High SFA is important because it:

- improves inventory planning accuracy
- reduces excess stock and bad stock
- lowers warehouse occupancy pressure
- improves Customer Service Level (CSL)
- reduces Net Working Capital (NWC) impact

Low SFA can lead to:

- overstocking
- understocking
- excess pallets
- service failures
- supply-demand misalignment

The SFA target defined in the S&OP process is >60%.

5. What are consistent failure parts in SFA analysis?

Answer:

Consistent failure parts are materials where SFA remains below 60% for consecutive months.

These parts are monitored because they significantly impact overall forecasting performance.

Planners perform:

- root cause analysis (RCA)
- failure categorization
- corrective action planning

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- forecast adjustment

Top focus parts are:

- AX
- AY
- AZ
- BX
- BY

These are prioritized during Demand Validation meetings with Go-to-Market teams.

6. Why is forecast cleansing important before demand validation?

Answer:

Forecast cleansing ensures statistical demand forecasts reflect actual customer demand instead of distorted sales movements.

Demand history must be corrected for:

- interplant billing
- IGST movements
- non-assigned warehouse billing
- one-time demand spikes
- outliers

Without cleansing:

- SFA becomes inaccurate
- forecast models become unreliable
- inventory planning errors increase
- excess stock and shortages may occur

7. Why are outliers corrected in statistical forecasting?

Answer:

Outliers are abnormal demand patterns that distort statistical forecast calculations.

Examples include:

- one-time demand spikes
- exceptional events
- temporary disruptions
- irregular sales movements

Outlier correction helps:

- improve forecast reliability
- reduce statistical noise
- improve SFA performance
- generate stable baseline forecasts

Correction methods include:

- smoothing
- reduction
- exclusion

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8. What happens during the Demand Validation meeting?

Answer:

The **Demand Validation** meeting aligns operational demand forecasts with sales targets and business expectations.

Main activities include:

- reviewing forecast bias
- validating target sales (TBP/CFxx/VPZ)
- reviewing SFA, CSL1, and TCT KPIs
- analyzing overstock and service-level risks
- discussing top SFA failure parts
- aligning demand plans with GtM teams

The output is an aligned gross demand plan for the next 12 months.

9. What happens during the Supply Validation meeting?

Answer:

The **Supply Validation** meeting aligns net demand with supply capabilities and production capacity.

Main activities include:

- reviewing net demand vs production plan
- identifying supply bottlenecks
- reviewing plant commitments
- discussing allocation issues
- validating capacity readiness
- escalating capability gaps

If supply constraints cannot be resolved operationally, issues are escalated to the Management Consensus Forecast Meeting (MCFM).

10. Why is ABC/XYZ classification important in forecasting?

Answer:

ABC/XYZ classification helps prioritize forecasting focus based on business importance and demand behavior.

Classification logic:

- ABC → based on turnover contribution
- XYZ → based on order-line behavior

Focus is mainly placed on:

- AX
- AY
- AZ
- BX
- BY

because these materials have high business impact and significantly influence SFA performance.

11. How does poor SFA affect warehouse operations?

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Answer:

Poor SFA creates demand-planning inaccuracies that directly impact warehouse operations.

Operational impacts include:

- excess inventory buildup
- higher pallet occupancy
- blocked warehouse space
- increased handling effort
- reduced inventory turnover
- higher excess stock risk

This increases warehouse congestion and raises NWC pressure.

12. Why is Demand Validation important before Supply Validation?

Answer:

Demand Validation ensures the forecast is commercially aligned before supply planning begins.

Without Demand Validation:

- supply plans may be based on inaccurate demand
- production alignment becomes unreliable
- bottleneck analysis becomes ineffective
- excess stock or shortages may increase

Demand Validation creates the aligned gross demand plan that becomes the input for Supply Validation.

13. What is the purpose of the Management Consensus Forecast Meeting (MCFM)?

Answer:

The Management Consensus Forecast Meeting (MCFM) resolves major gaps between:

- demand plans
- target sales
- supply capabilities

It focuses on:

- critical CBFs
- supply bottlenecks
- target sales alignment
- capability constraints
- allocation decisions
- major logistics KPI review

The objective is final management-level alignment of the demand and supply plan.

14. Why are CSL1 and SFA reviewed together?

Answer:

SFA and CSL1 are operationally connected.

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Low SFA can create:

- overstock situations
- understock situations
- inaccurate replenishment planning
- supply-demand mismatch

This directly impacts CSL1 because incorrect forecasting affects product availability and service performance.

Reviewing both KPIs together helps planners balance:

- forecast accuracy
- inventory levels
- customer service performance